

[ISOM2010] INTRODUCTION TO INFORMATION SYSTEMS

MUTI-SIDED DIGITAL PLATFORM BUSINESS MODEL

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Beyond the core interaction

- Adding more types of interactions between existing user groups
- Adding more user groups (→ more cross-side network interactions)

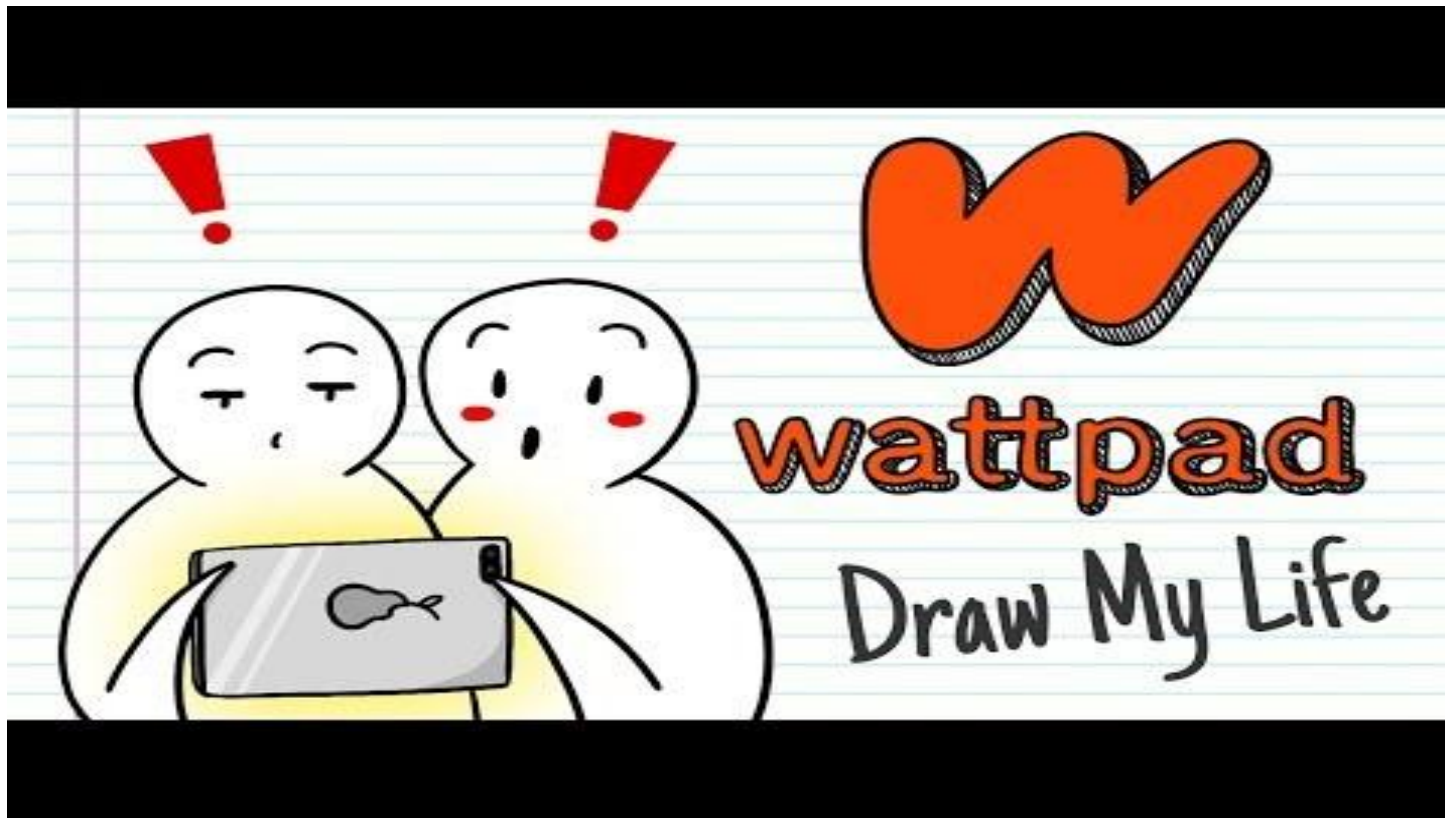
Adding more interactions & user groups

● LinkedIn

- Professional networking
- Allowing users to organize themselves into discussion groups
- Recruiters target candidates
- Advertisers target ads to relevant professionals
- Publishing platform



A mobile reading app company that wants to make movies?



Fast facts

- 4-5M writers
- 97M readers (monthly visits)
- 700M story uploads so far (in 50+ languages)
- Each user spends 274 minutes / month on Wattpad
- 64K new stories uploaded / day
- 1,000+ stories adopted for books, film, and TV
- Particularly strong in the market of teenage females in the U.S. (92%: MZ Gen, 80%: Female)
- Significant followings in Southeast Asia, Europe, and South America
- 1B data points/day: reader actions (clicks, comments)



A mobile reading app company that wants to make movies?

Recap

COMMON BUSINESS MODELS IN DIGITAL MARKETS

Transaction Fee

- Charge a fee for enabling or executing a transaction
- Don't have to physically own the service or content



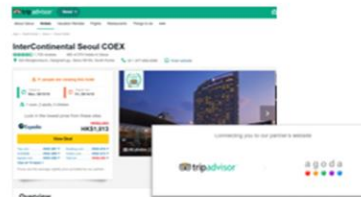
Advertising

- Charge advertisers the right to place ads on the site
- Most widely used method of generating revenue
- Higher ad fees: *attract a large number of users or keep users on site for any length of time*



Affiliate

- Receive a referral fee or percentage of sales each time you steer customers to affiliated sites



COMMON BUSINESS MODELS IN DIGITAL MARKETS

Subscription

- Offers its users content or services and charges a subscription fee for access to some or all of its offerings.
- Provide content or services that users perceive
 - worth the cost (high-value-added)
 - not readily available elsewhere nor easily replicated



Sales

- Sell products, information, or services directly to users



** Free/Freemium

- Provide basic content or services free but charge a premium for special features
- Entice users to your site with freebies and then convert them to paying customers



Digital Platforms: ways to monetize

1. Charging a transaction fee
2. Charging for access
3. Charging for attention
4. Charging for complementary tools / service

(1) Transaction cut

- Used when the platform owns transactions – meaning they occur on the platform.
 - Doesn't hamper the growth of network effects.
- Fee should not be excessive, though.
- Challenge
 - Disintermediation
 - High-value transactions (e.g., Ebay Motors) or recurring transactions (e.b., care.com, Food panda)

(2) Charging for access

(a) Transaction Brokerage (Off-platform Transactions)

- Used when the platform facilitates the discovery or matching process, but cannot directly own or capture the final payment flow because it occurs offline or through external channels.
- *Examples: Meetup (organizers pay a monthly fee), Squarefoot (real estate).*

(b) Membership Curation (High-quality Access Control)

- Charging a fee to "gatekeep" the platform, ensuring that only screened, high-quality participants can interact. This reduces "noise" and increases trust within the ecosystem.
- *Examples: Sittercity (charges parents for access to pre-screened babysitters).*

(c) Data Monetization (Insight-driven Value)

- Leveraging the aggregated, anonymized data generated by platform users to derive market insights, research trends, or develop new business opportunities for third parties.
- *Examples: Patients Like Me (selling aggregated health data to pharmaceutical companies).*

(d) Subscription Model (Recurring Value & Volume)

- Charging a recurring fee (monthly/annually) for continuous access to a large library of content or a suite of services.
- *Examples: Netflix, Spotify, Adobe Creative Cloud.*

(3) Charging for attention (advertising)

- Advertising: most obvious and most widely used models of monetization.
 - On Google/Baidu search, Alibaba, Facebook, Youtube, Twitter, etc.
- Ads should help consummate matches, not drive users off platform.
 - Targeted ads based on prior interactions
- A *poor* monetization choice for startups!
- Major ad selling platforms did not start by selling ads.

(4) Charging for complementary tools and services (trial version, freemium models)

Beyond basic access, the platform monetizes premium features that accelerate the **speed of discovery (Matching)** and reduce the **friction or risk of interaction (Facilitation)**.

Premium Matching (Visibility & Discovery)

Focus: Helping users stand out and find the right counterparts faster.

- **Boosted Visibility:** Paid priority in search results or "Featured" slots to maximize impressions.
 - Examples: *Coffee Meets Bagel* (Beans for date recommendations), *LinkedIn* (Feature Applicant)
- **Advanced Filtering:** Data-driven tools to identify high-quality matches hidden from free users.
 - Examples: *LinkedIn Sales Navigator* (Lead search), *Match.com* (Profile view insights).

Advanced Facilitation (Productivity & Risk-Free)

Focus: Making interactions safer, smoother, and more professional.

- **Trust & Safety:** Monetizing "peace of mind" via verification, insurance, or escrow services.
 - Examples: *Airbnb Plus* (Verified homes), *Tinder: Background Checks* (Pay-per-use criminal record search), *Panic Button* (Integrated emergency response services).
- **Professional Tools:** Specialized software or analytics for "power users" to optimize their performance.
 - Examples: *Vimeo* (Advanced editing/analytics)